

The most obvious way was that LIBOR rates spiked. [LIBOR is the rate at which banks lend to other banks.] It was an indicator that the underlying assumption that money would flow smoothly was no longer true. If you spoke to money market desks to find out what was going on, they told you that liquidity had dried up. They had never seen anything like it. If a similar event happened in any other market, it would be front-page news. But the fact that it happened in the most important market—the money market, which is at the heart of capitalism—was largely ignored.

Wasn't the stress in money markets reported in the financial press?

It was reported. It was all public information, but the point is that no one thought it mattered. Even more than three years later, we are sitting here, and you are saying, “Really, money markets broke down in August 2007? Really?”

Well, I have to admit, when I think of money markets breaking down in the financial crises, I think of the breaking of the buck by some money market funds in the aftermath of the failure of Lehman Brothers and the subsequent freezing up of the commercial paper market. But these events occurred more than a year later in September 2008.

That's my point. No one seemed to think it was important. The S&P actually went on to make new highs in the next two months.

But you made your transition from bullish positions to bearish in August 2007?

Yes, I turned bearish when money market liquidity dried up in August 2007. Declining housing prices were the impending storm clouds, but it started raining when money markets stopped working. Most people, however, didn't notice. Fundamentals are not about forecasting the weather for tomorrow, but rather noticing that it is raining today.

The great trades don't require predictions. The Soros trade of going short the pound in 1992 was based on something that had already happened—an ongoing deep recession that made it inevitable that the U.K. would not maintain the high interest rates required by remaining in the ERM.